
**wjec
cbac**
P25-A520U20-1**eduqas**

Part of WJEC

GCE A LEVEL**A520U20-1**

PREDICTED 2025 – AFTERNOON

ECONOMICS – A level component 2
Exploring Economic Behaviour

2 hours 30 minutes

*PREDICTED PAPER 2 (MODERATE)***ADDITIONAL MATERIALS**

A calculator.

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer all questions.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example

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Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

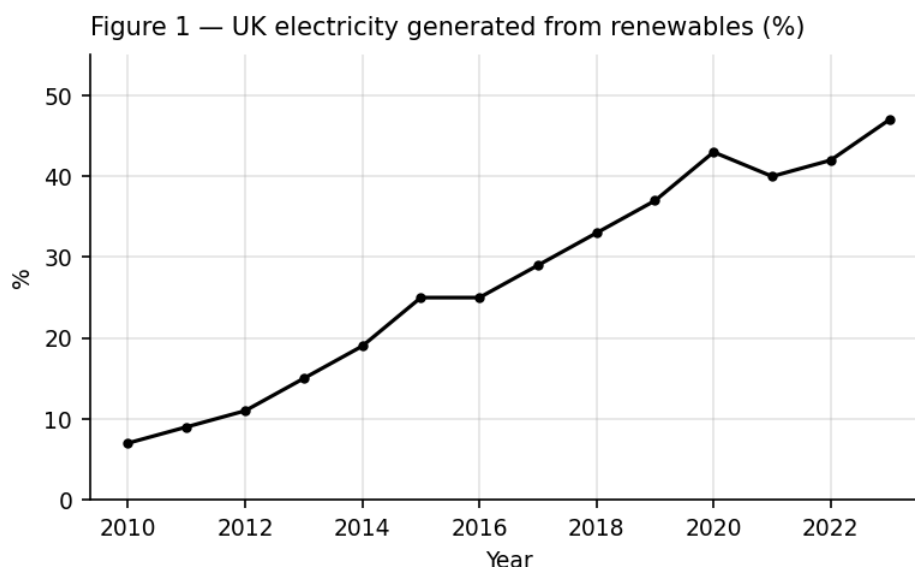
Answer all questions.

The cost of going green

In 2019 the UK became the first major economy to pass a law committing it to net-zero greenhouse gas emissions by 2050. Reaching that target will require major structural change in the way the economy produces energy, transports people and goods, and heats homes.

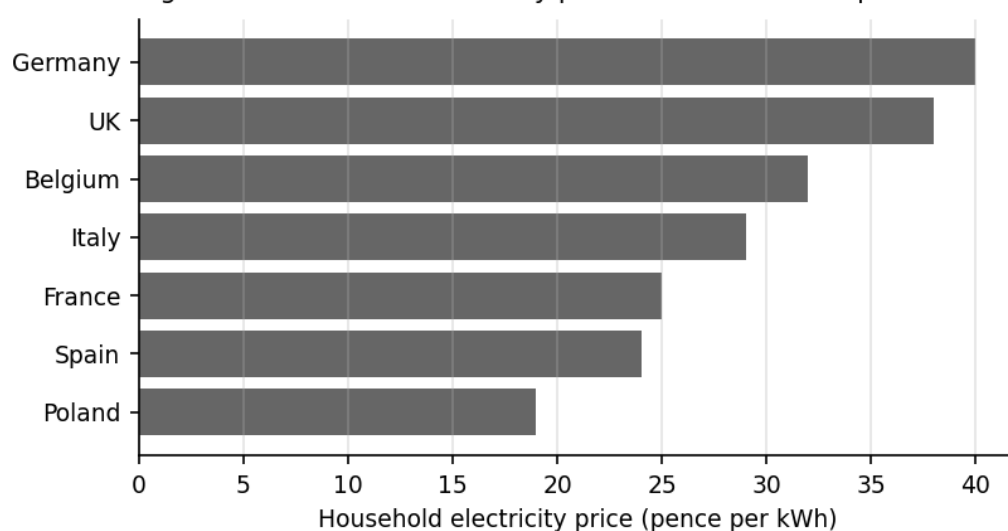
The scale of the challenge

Over the past decade the UK has made real progress in decarbonising its electricity supply. The share of electricity generated from renewable sources has risen sharply as old coal-fired power stations have been closed and replaced with wind and solar capacity (Figure 1).



This shift has been supported by a combination of carbon pricing, subsidies for renewable developers (Contracts for Difference) and planning reform. However, electricity prices paid by UK households remain among the highest in Europe (Figure 2), partly because gas still sets the wholesale price during most hours of the year, and partly because green levies and network costs add around 25% to the typical bill.

Figure 2 — Domestic electricity prices in selected European countries

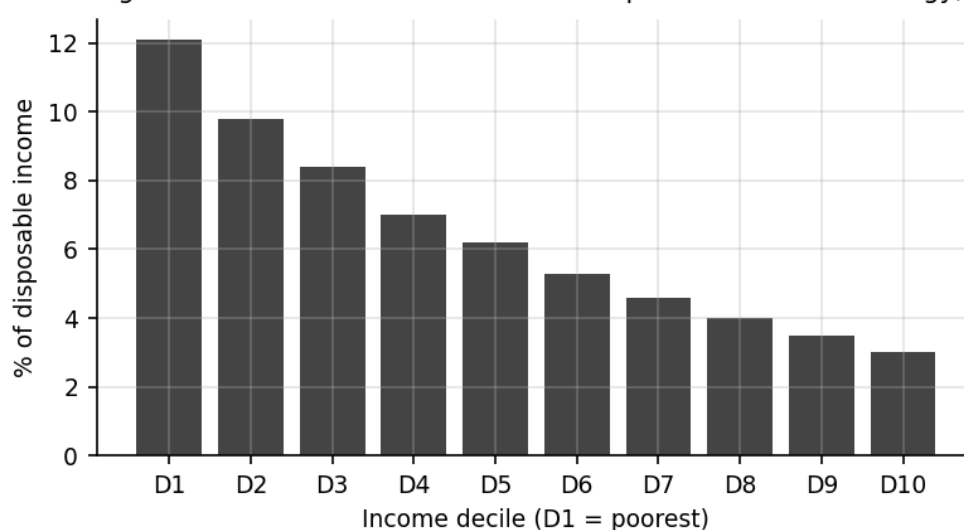


Winners and losers

Supporters of the transition argue that it will create hundreds of thousands of new 'green' jobs in sectors such as offshore wind, heat-pump installation, electric-vehicle manufacturing and grid upgrades. Some of these jobs will be concentrated in regions with existing heavy-industry expertise, including the North East, Humberside and South Wales.

Critics point out that the transition also creates losers. Workers in carbon-intensive industries face the risk of job displacement, and low-income households spend a larger share of their income on energy, transport and food, all of which are affected by the rising price of carbon. Because the poorest 10% of UK households spend around 12% of their income on domestic energy, compared with just 3% for the richest 10%, carbon taxes risk being regressive unless the revenue is recycled back to households (Figure 3).

Figure 3 — Share of household income spent on domestic energy, by decile



Policy options

The government faces a choice between several policy instruments to drive the transition further. A higher carbon price would internalise the negative externality of emissions but risks accelerating cost-push inflation and damaging the competitiveness of energy-intensive manufacturing. Larger direct subsidies for heat pumps, insulation and electric vehicles would be more politically popular but require significant public spending at a time when the debt-to-GDP ratio is close to 100%. Tighter regulation — for example banning the sale of new gas boilers from 2035 — is cheaper for the Treasury but shifts the cost directly onto households.

At the same time, unilateral UK action can only deliver limited global impact. UK emissions account for less than 1% of the world total, so without broadly aligned action from large emitters such as China, the United States and India, the UK risks incurring the transition costs while capturing only a small share of the benefits.

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 Using the data, explain why the share of UK electricity generated from renewable sources has increased in recent years. [5]
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 Using the data, explain why carbon taxes may have a regressive effect on low-income households. [5]
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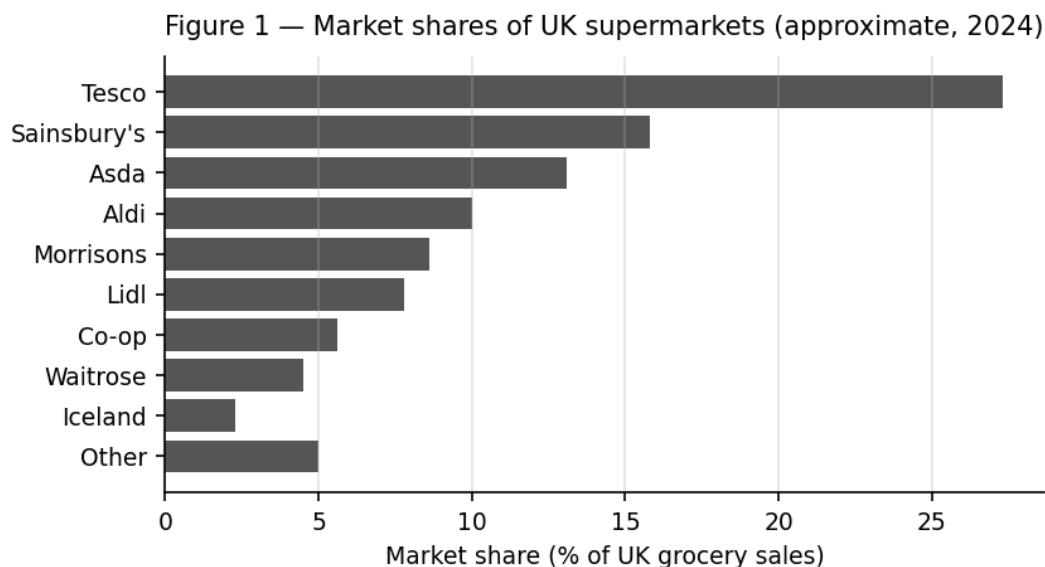
 Evaluate the likely effectiveness of carbon taxes as a way of reducing UK greenhouse gas emissions. [10]
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 Using the data, discuss whether government subsidies are the most effective way to accelerate the adoption of renewable energy. [10]
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 Using the data, discuss the extent to which the UK's transition to net zero will benefit low-income households. [10]

Who wins at the checkout?

The UK grocery market is one of the most visible examples of oligopoly in the British economy. A small number of large supermarket chains account for the vast majority of grocery sales, with Tesco alone holding around 27% of the market. The market has changed significantly over the past decade as the German discounters Aldi and Lidl have expanded rapidly, forcing the established 'big four' (Tesco, Sainsbury's, Asda and Morrisons) to respond (Figure 1).



As the discounters have grown, competition on price has intensified. Tesco launched its 'Aldi Price Match' scheme in 2020, which guarantees that the price of hundreds of everyday products is no higher than at Aldi. Sainsbury's and Morrisons have launched similar programmes. At the same time the supermarkets continue to compete heavily on non-price dimensions: expanded loyalty schemes (Clubcard, Nectar), same-day delivery, larger own-brand ranges, in-store cafés and self-service checkouts.

Bob's Supermarket

The data in Figure 2 show a simplified weekly cost and revenue schedule for a mid-sized supermarket, 'Bob's Supermarket', operating in a competitive town-centre location. Prices are shown per basket of goods.

Figure 2 — Bob's Supermarket: weekly price-quantity and cost schedule

Price per basket	Baskets per week	Total Revenue	Marginal Revenue	Total Cost	Marginal Cost
£24	0			£250	
£22	100			£340	
£20	200			£400	
£18	300			£480	
£16	400			£580	
£14	500			£700	
£12	600			£840	
£10	700			£1020	
£8	800			£1280	

A game of strategy

Oligopoly markets are characterised by strong interdependence between firms, which means each firm has to think carefully about how its rivals will react before changing price. The 'big four' have, on several occasions, been investigated by the Competition and Markets Authority (CMA) for behaviour that raised concerns about implicit coordination, including a £50 million fine imposed in 2011 for exchanging price information on dairy products.

Although explicit price-fixing cartels are illegal, economists argue that tacit collusion can be difficult to prevent in a market where firms are so visible to each other and to the consumer. The kinked demand curve theory suggests that prices in oligopoly markets can be unusually stable, even when costs change, because each firm fears that a price rise will be unmatched by rivals while a price cut will be matched immediately, triggering a price war.

Despite these concerns, grocery price inflation has been a major political issue. In 2022-23 UK food prices rose by around 19% at their peak, and the CMA launched a review of whether the big supermarkets were using the cost-of-living crisis to protect or expand their profit margins. Consumer groups argued that shoppers in rural areas, where there is often only one supermarket within easy reach, had no ability to shop around.

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 Using the data, outline the characteristics of oligopoly shown in the UK supermarket market. [5]
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 Using Figure 2, calculate the marginal revenue (MR) and marginal cost (MC) for each of the output levels (baskets/week) from 0 to 800. Record the answers in your pink answer booklet. Using your answers, explain at what level of output Bob's Supermarket will, in theory, maximise profits. [7]
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 Using a costs and revenue diagram, evaluate the effects on a supermarket's abnormal profits of participating in an 'Aldi Price Match' scheme. [10]
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 Evaluate the view that tacit collusion is inevitable in oligopoly markets. [7]
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 With reference to the data, discuss the extent to which oligopoly in the UK supermarket industry leads to a reduction in economic welfare. [11]

END OF PAPER

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